APPENDIX A

THE CHEAT SHEET

Plain words first, formula second.

WHAT YOU WANT	PLAIN WORDS	FORMULA
Position size	Dollars you will risk, divided by distance to your stop	$S = \dfrac{A \times R}{D}$
Average result per trade	Win rate times average win, minus loss rate times average loss	$\mathrm{EV} = (W \times R_w) - (L \times 1)$
Break-even win rate	1 divided by (1 plus your reward-to-risk)	$W_{\mathrm{BE}} = \dfrac{1}{1+R}$
Break-even with costs	Add your cost (in R) on top	$W_{\mathrm{BE}} = \dfrac{1+c}{1+R}$
Kelly (a ceiling, not a target)	Win rate minus (loss rate divided by reward-to-risk)	$K = W - \dfrac{1-W}{R}$
Your actual risk	The smaller of a fraction of Kelly and 1%	$\min(f \times K,\ 1\%)$
Drawdown	How far below your peak you are	$D = \dfrac{\mathrm{Peak} - \mathrm{Now}}{\mathrm{Peak}}$
Gain to recover	Drawdown divided by what is left	$\dfrac{D}{1-D}$
Yearly trading costs	Trades times cost per trade	$N \times \mathrm{cost}$
Balance after n losses	Start times (1 minus risk) to the power of n	$A_0(1-r)^n$
Expected longest losing streak	See Chapter 1	$\dfrac{\ln(N(1-L))}{\ln(1/L)}$
Candle force	Body divided by full range	$\dfrac{\lvert C-O\rvert}{H-L} \geq 0.60$
Halfway point of a range	High plus low, divided by two	$\dfrac{H+L}{2}$
Planned reward-to-risk	Distance to target divided by distance to stop	$R_{\mathrm{plan}} = \dfrac{T-E}{E-S}$

APPENDIX B

DRAWDOWN TABLE

DRAWDOWN	LEFT OF $1,000	GAIN NEEDED TO GET EVEN	ACTION
5%	$950	5.26%	Normal.
10%	$900	11.11%	Cut risk per trade by 25%.
20%	$800	25.00%	Cut risk by 50%. Audit the system.
30%	$700	42.86%	Stop real trading. Re-test in demo.
50%	$500	100.00%	Critical. You must double the account.
75%	$250	300.00%	Effectively finished.

APPENDIX C

THE FIVE CHART WORDS

Every setup in this book uses these five ideas and no others.

1. **Stop pile:** a clump of waiting stop orders above equal highs or below equal lows.
2. **Sweep:** price pokes through a stop pile, then closes back inside the old range right away.
3. **Force (market structure shift):** after a sweep, a candle closes past the last swing on the other side, with a body of at least 60% of its range.
4. **Gap (fair value gap):** three candles where candle 1 and candle 3 do not overlap, leaving a hole you can use as an entry zone.
5. **Dead line (invalidation):** the most extreme price of the sweep. IF price goes past it, THEN the setup is dead and the stop is hit.

Status: these describe a working model. The manual says price often behaves this way. It does not say always, and it does not say forever. Your own tested log is the only authority.

APPENDIX D

TRADE JOURNAL TEMPLATE

Copy one block per trade.

TRADE #	DATE	SESSION

INSTRUMENT	DIRECTION
	BUY / SELL

THE THREE SCREENS	
DAILY BIAS BULL / BEAR / NONE	**TARGET PILE**
1-HOUR ZONE CHEAP / EXPENSIVE	**KEY LEVEL**
ALIGNMENT SCORE (0 TO 3)	

THE FOUR GATES		
1. SWEEP LEVEL		**SWEEP EXTREME**
2. FORCE CANDLE BODY RATIO *(must be 0.60 or more)*		
3. GAP	**TO**	**MIDDLE**
4. LIMIT ORDER PRICE *(near edge / middle / far edge)*		

THE ORDER		
ENTRY	**STOP**	**TARGET**
STOP DISTANCE	**PLANNED R** *(must be 1.5 or more)*	
BALANCE	**RISK %**	**SIZE**

THE RESULT	
EXIT PRICE	**EXIT REASON** TARGET / STOP / MANAGED
COSTS ($)	**REALIZED R**
EFFICIENCY (REALIZED R / PLANNED R)	

THE AUDIT
1. BIAS SET BEFORE ENTRY? Y / N
2. ALL FOUR GATES IN ORDER? Y / N
3. SIZE FROM THE FORMULA? Y / N
4. STOP LIVE AT ENTRY, NEVER WIDENED? Y / N
5. PLANNED R AT LEAST 1.5? Y / N
6. CALM SCORE (1 TO 5)
COMPLIANCE PASS / FAIL

ONE SENTENCE: WHAT WOULD I DO DIFFERENTLY?

APPENDIX E

50-TRADE LOG

#	DATE	DIRECTION	PLANNED R	REALIZED R	RULES FOLLOWED? (Y/N)	RUNNING TOTAL R
1						
2						
3						
4						
5						
6						
7						
8						
9						
10						
11						
12						
13						
14						
15						
16						
17						
18						
19						
20						
21						
22						
23						
24						
25						
26						
27						
28						

#	DATE	DIRECTION	PLANNED R	REALIZED R	RULES FOLLOWED? (Y/N)	RUNNING TOTAL R
29						
30						
31						
32						
33						
34						
35						
36						
37						
38						
39						
40						
41						
42						
43						
44						
45						
46						
47						
48						
49						
50						

After 50 trades, work out:

WHAT	HOW	RESULT
Win rate	Wins divided by 50	
Average win (R)	Total winning R divided by number of wins	
Average loss (R)	Total losing R divided by number of losses	
Expectancy	(Win rate × avg win) – (loss rate × avg loss)	
Worst losing streak	Longest run of losses in a row	
Compliance	Trades with every rule followed, divided by 50	
Expectancy without your best trade	Remove the biggest win and redo it	